

requires. If this monthly amount is too high for your budget, you may have to lengthen the time period needed to save the total amount. Almost any goal is possible if you are willing to adjust the monthly amount saved or the time period required to purchase your goal.

The moral of the story of Phil and Jose is that your income doesn't predetermine your financial situation. It doesn't matter how much you make if you spend more than you earn. Jose already mastered this concept, which allowed him to have a happy ending. If Phil had applied this philosophy, he could have improved his situation.

Phil could have taught his sons good money management habits by requiring them to contribute some of their own earnings to their college education. Phil's debt level was way too high, illustrated by the fact that he had to get a second mortgage just to help pay his credit card debt. Ironically, Phil's high income actually contributed to his sense of security, which allowed him to keep getting deeper and deeper in debt. He knew he would receive special treatment with his auto loan and that he could qualify to borrow large sums of money because of his high income. Unfortunately, for every income level there are limits. Eventually, Phil reached his.

Words of Wisdom

Getting in control of your finances and managing your money is fairly simple if you follow the steps detailed in this chapter:

- Create a budget.
- Track where your money goes.
- Determine goals and a plan to achieve them.
- Realize your spending priorities.
- Be willing to give things up.
- Don't spend more than you make.

